The AI Bubble Has a Bigger Problem Than Valuations

Podcast: Know your risk

AI Executive Summary

Core Thesis

The episode argues that current market movements are being driven more by mechanical positioning and institutional management than by underlying economic fundamentals. The speakers suggest that recent stock price surges in "hyperscalers" (like Amazon) and declines in other tech giants (like Apple) are products of traders rebalancing portfolios to avoid high CapEx-heavy names, rather than true shifts in value. This theme of "managing appearances"—whether through corporate accounting adjustments at Microsoft, government attempts to stabilize oil prices, or political maneuvering—is central to their view that the market is currently operating on "mechanics" and short-term positioning rather than long-term stability.

Key Arguments & Data

- **Market Performance Divergence:** While the S&P 500 rose 0.88%, this was driven almost exclusively by the "Mag 7," which saw significant gains (Amazon +15%, Google +7%, Meta +3%). Conversely, small caps and equal-weight indices were flat or down, and Apple dropped 7.5%.
- **Rising Interest Rates:** A significant concern is the upward trend in long-end yields; the 30-year yield reached 5.26% and the 10-year at 4.72%, with the 20-year testing its highest levels since it was reintroduced.
- **The "Hyperscaler vs. Chip" Rotation:** The speakers argue that the recent divergence (chips down, hyperscalers up) is mechanical: investors are selling chip names to fund long positions in hyperscalers, as the massive AI CapEx allows cloud providers to effectively use equity issuance to fund growth.
- **The Government Backstop Theory:** There is a debate regarding whether the US government will eventually be forced to backstop AI and data center spending via "money printing" if the private market can no longer sustain the necessary level of capital expenditure, due to the existential security implications of losing the AI race.

- **Corporate Accounting Scrutiny:**
  - **Microsoft:** The speakers suggest that changes in depreciation schedules are an attempt to "put lipstick on the pig" to inflate perceived earnings and facilitate equity sales.
  - **Carvana:** Significant skepticism is expressed regarding Carvana's reported margins, with claims from auto dealers that the company's high-volume auction inventory often consists of "flawed" or overvalued vehicles, suggesting a lack of proper diligence or unsustainable business models.
- **Geopolitical and Energy Risks:** Increased tensions in the Strait (involving Iran) and reduced US Strategic Petroleum Reserve (SPR) releases are creating supply tightness, with the speakers predicting oil prices could sustain levels above $110 in the short term, though they view long-term oil spikes as "trades" rather than permanent structural shifts.

Actionable Takeaways

- **Distinguish Between Mechanics and Fundamentals:** When observing extreme volatility or divergence between tech sectors, look for underlying positioning (e.g., month-end rebalancing or forced liquidations) rather than assuming a fundamental change in company value.
- **Monitor Long-End Yields:** Given that the 10-year and 30-year yields are testing multi-year highs, investors should be cautious about high-duration exposure and prepare for potential market shocks if rates continue to climb.
- **Scrutinize Corporate Accounting Shifts:** Be wary of significant changes in depreciation schedules or "adjusted" earnings metrics in large-cap tech; these can be used to mask declining net margins or rising CapEx burdens.
- **Treat Energy Spikes as Short-Term Trades:** While geopolitical tension may drive oil prices higher in the immediate future, consider these moves as tactical trades rather than long-term structural shifts, as technological advancements (AI) are expected to eventually improve drilling efficiency and supply.

Full Transcript

These guys are trying to put as much lipstick on the pig. They are pulling every stop they can to gin that stock price higher. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the Daily Dots, and I'm joined as always. I'm Mr. Chase Taylor, once again, coming from the home studio here, which is actually my dining room table. So these days are getting, the one thing they have in common is they're getting harder and harder, harder and harder to explain and harder and harder to understand, at least for me. But I believe this is now a new, Hi, for the 30 year, we'll get to all this in the rundown, but apparently today stocks like higher rates, huh? For one day, but we can talk about that. I think there's some one day, one weekish kind of idiosyncratic reasons why it's probably the case, but. Yeah, I mean, when you got a 3 trillion company up 17% on the day or something like that, that tends to move things around a bit. But why don't we start as always with the rundown, walk us through it.

Yeah, we got about four minutes left. So let's change a little bit but at the moment S&P up 0.88 Despite that equal weight is flat Cues are up about the same 0.88 Small caps are down half percent and that kind of shows you obviously if you got equal weight and small caps down But everything else up about 1% that it's all coming from mag 7 and that is correct mag 7 is up to 3.4 percent And I think that really explains why you're able to look through rates today. You have Amazon up 15, you have Google up seven,

Meta up three and changed, Microsoft up three and changed, NVIDIA up three and changed, even Tesla's green today. Now granted, Apple down seven and a half, or you would have had a 2% day or something, but I think that's really the story of today. The dollar is essentially flat. It actually put in a new low during the day, but it's kind of rallied back a little bit.

down 0.06, all world XUS down 0.19. Rates, as mentioned, to me, probably the story of the day again. And you had the two year up three basis points, but the 10 and the 30 up another five at the moment. And it was a little worse than that earlier. So you're at 5.26 for the 30 and 4.72 for the 10. And yeah, this is a new high for the 30. The 10 keeps getting closer to it. It's new high, the 20 years testing, it's highest since it came back into existence. So, ugly there, oil at 1.4%, gold down 1.2, silver down one and a half, gold miners down 3.4, so that was a little, a little ugly there. The rest of the metals mixed, and then vol down another 3% almost to 18.2. Yeah, it makes all sense in the world.

some basic observations. I hope people that are buying Amazon stock at this price really, really like it because when you see price surges on these hyper scalars like this, I go get ready to eat a bunch more stock bud. Yeah. And and to that point, their free cash flow went negative the same way Google's did. So like, well, I did this is blind. This is this is that blind action. Hey, bid that baby up. You're going to be their cash register. Hope you like eating a bunch more paper, man. I think you can basically just firmly predict that. If it keeps going up, they're going to put paper on you. Well, of course they would. Look at the valuation on the stock. Are you kidding me? I mean, the market's sitting there saying shove it down our throats. Yeah. I think one of the unique things from the last couple of days maybe has been, if you think back, we had a long period where you had either chips up or hyperscalers up.

But they were doing the opposite. For the last two days, both have picked up, especially the hyperscalers today. But I think that's why the market can look through another five bips on yields, at least for one day. But how long that can last, I don't know. And how much of that was probably attributable to one big fund getting blown out? And hey, at least that guy's not selling anymore. I think next week, and it's important to remember, like, today's

month end, weird stuff happens on month end. So like, I think next week we can start paying a little bigger picture there. That includes bonds. Maybe bonds chill out, you know, too. Well, ironically, man, I read that Amazon Q and what I thought to myself is I was like, man, that Amazon Q makes me want to jump back on shorting the hyperscalers and getting along the chip names. You know what I mean?

I read that and I went, okay, so what that means is the market's going to give Amazon more money to piss away on chips and AI. That's the thing. You're going to sell off the chips and buy the hyperscalers on that news? Okay. Given what the Fed's doing now, they're like shove a bunch of stuff into private credit, SPVs that are tied to SOFR, starts looking better. They should just keep doing that now that you know, it's trying to sell 30 year papers going to slap you upside the head. I mean, that, I already, I already didn't think this stuff penciled out, you know, a hundred basis points to go on the long end, but now it like really doesn't pencil out. You know, given where the long end rates are. Now, if the fed is going to let inflation run to 5% and then you're going to sit here and not hike, you should probably, yeah, just find a way to shove it all into some SOFR link stuff, I guess, but yeah.

The other interesting one, and shoot in the next two weeks, it'll probably rally back to the ties or whatever. But Apple, you look at people and go, I thought they announced a pretty good queue. All in all, I thought it was pretty good, but I'm sitting there going, well, and I know the guidance issues that they announced and all that kind of stuff, but you're sitting there going, trying to end services, more hits, yeah. But guys, when you price that pig, Apple, when you put it at that price, man, you better hit every cue on the freaking pins or you're gonna get hit. I mean, look, I'm not giving people investment advice, but I'd say if you can still unload your Apple stock between 310 to 315, at least on a fundamental basis, I think it looks good. Like I said, I say that two weeks from now in this market, it'll probably be back up to its highs, but yeah, I just...

You kind of want to look at investors and go, what were you expecting? Were you expecting to see 25% year over your revenue growth? Like what? Okay. Were you expecting to see widening net margins in this environment?

Oh, okay. It's just kind of, like you said, I think your explanation for it makes sense. And it's like, Zach, don't beat yourself over a fundamental head or over your fundamental head based on a move that's based on mechanics. And it's the leader of the S&P 500. It's going to pull a Costco, right? It's got to make a big misstep to get hammered down to where it probably should be valued. That's another funny one. Go look at the valuations spread on Amazon and Costco. I beg on Apple all the time. If you stuck a gun in my head and I had to own one of them for the next five years at current valuations, I'd probably take Apple versus Costco.

So to pivot a little bit, we talked so much about the whole like software, well, the hyperscaler chips, but also the software chips, the way they traded against each other, making it clear some people had huge positions in it. Now we literally know someone who did, but I think you can see this with Apple and the hyperscalers too, where like, look at today, Apple down a bunch, hyperscalers up a bunch. It's mechanical because there are all those people out there that either want that capex smoke and everything that comes with it. or they want nothing to do with it. So there's hiding in Apple. So if you want to closet index, but you really don't want those capex junkies, you have to be massive in Apple. And I think there are people doing that. So I think, I think it's instructive today how bad Apple is and how the rest are just shoving higher. Yeah. You know, and that's, um, that's probably a good point.

Again, I look at that as incredibly short-sighted investment decisions because when you hit one of those water on the face moments where markets sober up, yeah, look, I think Apple will be a better place to hide relative to the others, but it's going to get smoked too. I'm not saying it's on the precipice. I'm saying when that occurs, it's going to get smoked too, but probably less than the others. So when you're competing against the index, that does make sense. Yeah. And speaking of that, this just came to mind. But if you look at an Adobe, if you look back to that, the price just kept getting worse and worse and worse. The chart is terrible.

And if you go back and you get to see the narratives, and not just the Doty, but a lot of software names, you can see the narratives just bubbling up to explain the price action, right? The price drives the narrative thing we talk

about. But you look back on it and you can see like, sure, a guy's gonna kill it and like, you can imagine all kinds of problems whenever you watch the price go down every day. But as it turns out, a lot of it was one dude shorting the living crap out of it. Like I think, I think, I think it's super instructive for people to like to anytime you see some price action, take a step back and go, Hey, maybe this doesn't mean anything other than somebody's positioning. And if their positioning is wrong, this could be still be a really good opportunity. It's just like the modern market is so tied to that market structure and positioning and stuff. And I think people like I had a lot of clients like, you know, research clients pushed back on me for liking Adobe and I got a million reasons.

And I think most of them are just nonsense. Like the reality was a bunch of people got short so they could fund their longs and chips and stuff. I mean, that's, it may have been that simple. Well, the other thing too, and you know, I wish we could like flash our portfolio, but I just got our finishing marks for the day. We are composed so differently than the S&P 500. Like, right. I mean, not even close. If you look at our portfolio today, you have almost perfect back and forth on and off with the market this week. And I think we beat it a little bit, but just, you can look at our portfolio movements versus the S&P 500, look at the composition of both and watch them swinging in equal and opposite directions each way. And you quickly figure out, okay, this really has nothing to do with underlying, you know what I mean? It's just, it's all mechanistic right now.

Look, there's a lot of times where that's the case. But it's just, I have a hard time, I'm sure there's been short periods of times, but I have a hard time remembering watching securities move in a way that is almost entirely mechanistic. and has absolute or appears to well it doesn't appear like I said if you look at the performance of our portfolio on a relative basis versus the S&P 500 I kind of think that tells the story you know what I mean like we are not positioned to be a mere image of the S&P 500 right it's not like we're short the S&P so when they're up 1.5 we're down you know what I mean it's it's not even like that at all and yet you get this mere image action and you realize it's just off on this side on on that side And there really is zero fundamental action to base it on. Like I said today, that watching the market beat down chip names on that Amazon news, I was just sitting there,

scratching my head going, guys, that means they're going to keep spending because they can sell more stock. I mean, if you were bullish micron prior to that, you should be bidding it up today. You know what I mean?

Yeah. The move in the stock, the announcement of the queue, I sit there and I go, that means they're going to sell a lot more stock, which means my crown is going to sell a lot more memory. That brings up a big theme that I was thinking about this morning. And I give Luke Roman credit for putting it in my mind. And that is obviously at some point, I mean, we've seen like teases of it already, of course. But at some point, the CapEx is so big that the market can't swallow it, right? It's just too much equity issuance. It's too much bond issuance for the market to deal with. And it gets to the point where the companies look at what's going on in the market, and they're like, we have to stop. What gets really important from there that I want to talk about is does the US government step in and just take care of it? Do they backstop the capex whenever the market stops? And what are the implications of that? Because I thought about this a little bit, but not a lot.

Today, it's been on our mind like all day because I think so many people view this as like some existential security thing. If we don't win AI, you know, we'll all be like, you know, just Chinese serfs or whatever. And I think that's probably dumb, but I understand where people are coming from with that. If that's the case, you get to the point where, you know, the hyperscalers are all in 60% drawdowns and they sold a crap load of bonds and no one wants them anymore. But we still think, oh man, this AI is so important then. Does the government just like, cool, we'll do it? Well, you bring up a really interesting point, and this is why I've said, and every time I say it, the fundamental investor and the history student in me just cringes saying this. But that's why I tell people you're not going to see an 85% drawdown. Let me explain it. Or even an 80%, or even a 70%, probably not even 60% to 65% anymore.

And the reason I say that is I think when you're looking at markets or investments, you need to be very careful and concerned about idiosyncratic risks as it relates to individual positions, individual equities. When you identify something that's effectively like a cruise missile for the entire economy in the market, you don't, you need to worry about a hitting, right?

You probably want to hedge that event because it's going to smack you. But yeah, the answer to your question, Chase, in my opinion is if they determine that not stepping in and backstopping AI and data centers and build out and all the capex spending is going to potentially create a big market drawdown and a recession. Absolutely. They'll step in and back. If there is anything they can do via the money printer, they're going to do it. And if you've betted on that the last 15 years, you have not been wrong once. And you and I have talked about this dynamic for a very long time.

Everybody goes not this time. And I go, with all due respect, I think you're looking at it completely the wrong way. Each time they have done it, they have increased the need to do it the next time. They can't walk away. They're to a point where that would be irresponsible. And I know a lot of people are gonna hear that and go, oh, Zach, you're going soft on money printing? Not at all. I think the whole thing is a mess. I think the whole thing is just a joke. I'm talking about not what should happen. I'm talking about what will happen. And if you if you think they run the deficit or the debt to 140 percent to GDP and five and a half and six percent deficits, and all of a sudden we're just going to let it play out. I mean, I got I got a bridge to sell you. So yeah, they if that's what's required to keep the ball rolling, they will step in and they will backstop it. I I don't see any reason why they wouldn't.

Yeah, I think I think that's just something to start start basically planning for because I think it's not maybe two three years away or whatever but like I think it's I think it's inevitable More or less unless unless something really big changes in AI where it doesn't look like it's that big a deal Like where it's like you could make a really good case that is existential security problem Other than that it's gonna happen so people I think it's time for it's already time for people start thinking about how how that looks for deficits, for inflation, for asset prices, like all of it. Yeah, I agree with you. The other funny thing is, you know, I think people are going to be like, if and when they were to come in and backstop it, again, I still look at the hyperscalers and go, that's not the part you want to be in. Right? It's just going to keep compounding the CapEx. And I mean, if the government backstops it, I'm sure that'll alleviate some of the weight on them. But I mean, NVIDIA is going to run out of the ability to backstop it before long. But now that

they're a beneficiary and a backholder at the same time. Well, and the other thing, we were talking about the Microsoft key yesterday. Look, I'm not calling them out and saying they're nefarious or whatever. They're managing their own thing. I don't think they're doing anything wrong. I'm not trying to call them out on that level. But when I heard that depreciation schedule change, I just sat there and I went, okay, these guys are trying to put as much lipstick on the pig. They are pulling every stop they can to gin that stock price higher. The only reason, and that's not Satya Nadella, man. You know what I mean? He's not a carnival barker. I really like that guy, yeah. So do I. I think he's brilliant. He's not a carnival barker. He's not anything like that. But I think he's doing the right thing. I think he's cheerleading a stock because he knows he wants to sell more equity. Think how much stock they bought back over the years.

You know what I mean? Like he knows he's got the margin for it. I guarantee you he wants to gin that valuation up as high as he can so he can sell more stock. And if I was in his position, I'd do the exact same thing. As an investor, I'm going, you're going to go, okay, go ahead and bid that stock up. You're going to eat it. You know, I just, I don't see any way around that. Do you? Do you see anywhere around that? No, it reminds me of So I'll post about some guy that had spent a few years in prison. And he said he's 31 years old because he doesn't count the years he spent in prison. And the guy said, this is also how EBITDA works. He's maybe thinking. He's not wrong, right? He's not wrong. It's also how to adjusted earnings work these days, right? And it's so funny. I'm not counting that. Those prison years. Yeah, right. We're not going to count those. I might look a little bit older, but in reality, You know, I'm 31 man. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. Okay, so what, okay, news on the straight. What do we see that anything interesting there that we saw? Not a whole lot. There were, there looked like two vessels tried to make their way through last night and And Iran stopped it. They released videos saying they hit them. It's another one of the situations where we did not get a UK MTO report suggesting they were hit. I didn't see anything on Saddle Amjory that shows they were hit. But you could see a

couple that were going in and they turned off their AIS to try to get through. And then it looked like they didn't make it through. So it seems like that's probably what happened. But we didn't do any bombing last night.

The Iranians didn't do much either. I think they hit Kuwait a little bit and then obviously a couple perhaps a couple a couple ships trying to transit but Other than that, like it was fairly quiet. You still have virtually no traffic and the straight and reduced traffic and babba-mal-deb, so you You know, it looks like we have about 10 million barrels shut in right now UAE still doing well Nobody else really is So, yeah, we're just gonna keep tightening up in oil. Oh, one thing I've noted in oil that I found very interesting was the energy secretary came out and said, oh, I don't think we're gonna do any more SPR releases. And they're even debating whether they're gonna keep going on the current one. I was like, come on, man, like, yes, you're gonna have, you're gonna drain this thing to nothing. Like, I don't know how they don't because as soon as they stop those flows, Well, the supplies are just very tight, very fast. Look, everything they do. I don't I don't really call BS on that. They're going to do it. Yeah. I totally agree with you. And like I've said before, man, I mean, we're a nobody. I mean, you know, we're a good sized RIA, but.

you know, we're nobody. It's not like we've got secret connections or inside information, anything like that. But if you're just, if you're just watching and listening to what the administration is saying, I just think it's abundantly clear what's going on, meaning they're just trying to buy time, right? They're scrambling to figure out a solution that I don't think exists. And I think he's just trying to buy time. He's saying like, and the reason I say that is every single thing they say, every single thing they say, is if you read the subtext, it's, oh yeah, oil's not a problem, we're not worried about it at all. After four weeks ago saying that, or three weeks ago saying tank bottoms, we're gonna bottom in four weeks. So if I've got to guess which one of those are true, and again, not just because I'm long oil, but just think about it, like one is not helpful to admit at all, right? The other, if people believe it is extraordinarily helpful to your cause.

You know, every time I hear one of those statements come out of an administration official chase, and I know that our listeners are probably

tired of me saying this, but the more and more it reinforces my view that we're going to get a resolution above 110, not below. You know what I mean? Yeah, I mean, for sure. It's pretty hard to push back on. Yeah, and it just like we were saying yesterday, and I was thinking about this more last night, in a weird way, I think that higher oil prices give Trump more cover to back out. No doubt about it. I mean You do it at 80 and there's a lot of people they're gonna moan about it. If you're in a more tangible crisis, it's just harder to say something. I mean, yeah, yeah, I That being said when I look at a night like last night where we didn't hit them hard, of course, maybe Everybody knows we like to fight wars on the weekends. So maybe we're sitting Yeah, and I think that's common for sure. Yeah. Yeah again, just like That's another thing that frustrates me now. We're in a war that's critical to the survival of the European continent and we're doing it so Paris and London don't get nuked. And yet we operate on the weekends to make sure oil doesn't go higher. That's how we conduct military operations as it relates to nuclear threats via Europe.

Yeah, like what like we so we face this existential threat of Paris and London getting new to their words not mine and So we're gonna conduct these operations Friday night through Sunday night because we don't want the market to get hit And also Paris and London don't seem to worry about it at all. So I mean considering they both have and well considering they both have Muslim mayors I really don't know why you'd start trying to nuke them first but It's just the narrative gets harder and harder to follow. I just, I don't think there is one. Again, Occam's razor, right? You sit back, observe what everybody's saying, observe what everybody's doing. You're buying time because you don't know what to do. And you got a bunch of quills from the porcupines that are still stuck in your mouth. You know? Yeah, I saw a good video of a crocodile biting a porcupine and just losing its mind because it had quills all in its mouth. Oh, was it real? Yeah, it was a real video. I was like, man, that looks familiar. Yeah.

I shouldn't laugh. Like I said, I'm not this is no, I know it's not funny. No, and we're not I mean and you know, the video is funny. Everyone should watch. Yeah. Yeah. Yeah. Yeah. The video I'm sure is a good laugh. It's bizarre. Now, one thing I will say to keep in mind for those people that are really bold up on oil and everything, you know, I don't know the future

prices like anybody else does. But what I will say is that I think it's really important for people to keep in mind that I think whatever your position is on oil, it's very most likely a trade. You've got to think about it that way because when you see what's happening, I do not believe. I think that AI is going to make drilling more efficient. I think that you look at the progression and drilling efficiency over the last 10, 15, 20 years without AI. Those efficiency gains should continue to go.

if not accelerate to some degree, this is a short-term play. The world is not going to be facing an oil shortage over the longer run. Again, over the next six months, if we keep making decisions like we're making, we absolutely will. But if we get that spike in oil, that's going to be a trade you've got to sell. To be fair to the market with that in mind, it does make a little bit more sense on the price action. then you flip back to looking at crack spreads and everything like that. The sense that that makes kind of, at least in my mind evaporates pretty quickly or at least cancels each other out. But yeah, what else are you looking at? What else call your order? Honestly, not too much today. I've been thinking a lot about the Fed and the rate issue there, kind of putting rates in charge is what I'm writing about this weekend. I called it a, deputizing bond vigilantes, because now they're like in charge of monetary policy, which, and that's kind of walking through all the reasons. I think that that is a bad idea. And speaking of this, like, it's one thing to do that 25 years ago, when deficits were nothing compared to this and debt, the debt was way smaller. You weren't, well, you probably were, but, you know, to do this actively during a war, to say, Hey, bond market, you, you, you grapple with inflation. We're just going to watch like, It just, it's just crazy. I can't believe it. Well, I, I agree with you, but what else was he going to say? Right? Like we know where this ends. Oh, right. Well, but it ends with yield curve control. Sure. But he's pretending to do the exact opposite. I know. But what do you tell? That doesn't make sense. But when you're, when you're staring down the bully, who you know is going to kick your backside, right? What do you try to do?

So try to talk tough and scare him off and hopefully you can squeeze out of it without me without any Yeah, well and in that way it's the same as the war strategy, right? and but I find them both to be counterproductive and There's no point. Yeah. Yeah. Yeah, there's no question They are because

he's whatever he says is not going to change the eventuality that's coming down the track Adam, right? If anything it's if anything he's he's making it worse beating it up like he's gonna He's going to create a market event. He was definitely not trying to create. But remember, we've talked about what is it? What does it appear that the timeline in terms of the way this administration thinks, right? They're not looking out two years down the road. I think they're looking at two month increments, which begs the question, why not just do a rate hike? Buy some time and they cut him back down after the war versus letting, you know, letting duration go up 100 basis points right in your face.

because if you raised right now, it would make the stock market go down. I think duration blown out will be worse than the Fed funds rate going up 25 basis points. Oh, I agree. But I bet you I bet you they're sitting there at least for the next couple months leading into the leading into the election. I would be shocked if they didn't think, OK, if we start feeling like that's getting out of control, we're going to pick up the phone and call in some favors of central banks around the world and tell them to step in there and soak some of it up. I remember just thinking about the way, and to be fair, look, I'm not sitting there saying that everything is larcenist and these guys are just, you know, vipers spitting venom all over the place. You can't trust anything they're doing. But what I am saying is, you know, the situation they're in is one that's been cooking on the stove for 25 years. Oh, for sure. So, you know, they're going to do whatever they can do to manage it in the short term. And, you know, That's the point I'm making. I think this is the exact wrong short term point of view to have.

Yeah, but you don't think what I'm saying is if they're going at it at this angle I have to believe that they've got something in mind and kind of like the oil thing right I mean clearly they had a plan and a plan in place to try to keep a cap on oil prices And I'm not saying they were directly intervening in the markets I would be surprised if they didn't in some way shape or form but not saying they did The asset came out today and said like we'll keep doing what we've been doing to keep oil prices down it's like Oh, go on. Cool. And I'm looking at him and going, why is this helpful? Like in real terms. But again, if you're, I don't think any of this thing, I don't think any of it makes sense unless you look at a little lens of, you know, 45, 60, 90

day increments, right? Just keep it looking good. Keep things going up. Put lipstick on the pig, right? Just stop anything from happening that's going to stop the music.

And then, you know, when you look at the polling and you look at everything going into midterms, I don't, on a political basis, I don't under, you know, I don't, that doesn't surprise me. That take doesn't surprise me. You know, you try to gin up any positive thing you can. I don't know, man. I've just gotten the point where, and we don't need to get political, but I've just gotten the point where I am so disgusted by the political process in this country. I'm so disgusted by both parties. I'm so disgusted by politicians in general. Nobody is acting on a basis of what's beneficial for the country long term. Nobody is. It's all power dynamics. It's all getting more money, getting more rich. It's so hard to swallow the slop we're getting fed from all sides constantly. I'm so tired of it. It's disgusting. It's so late stage empire, it just hurts. You know what I mean?

So I said I'm not I'm not gonna get political. Well, if I'm bagging it wasn't getting political was it partisan, right? No, I wasn't partisan just begging on the whole I just You know, it's like the old adage. What do you call a thousand politicians at the bottom of the sea? That's a good start, right? I'm just and maybe that's still like the Boy Scout kid in me like hoping people I was on the phone with our buddy Dimitri Kofinas this morning and we were having a conversation about this very dynamic and look man I've made plenty of failures in my life. I'm going to make plenty more. What I do not understand. And I mean this honestly. I do not understand those people whose attitude is my principles and my character and my values mean nothing all I care about is money and power. I do not understand it. I don't know how they look themselves in the mirror in the morning. I don't know how they kiss their kids and their wives. You know what I mean? Like just I would hate myself.

if I was one of those guys, right? There's no virtue in it at all. There's no virtue. There's no no bless, no bleach. There's no humility. There's no kindness. There's no truth above all else, right? They're not even fractions of men. They're not even men at all. They're just, they're just, they're vacuums, right? For goods and money. And I just, God, they're just the

worst. They're the worst. I think historically there was tons of corruption. Like you can go back to Lincoln, Washington. These guys were corrupt too. But I feel like I feel like it was like an 80, 20, 90, 10 thing. And now I feel like it's it's that but like flipped on its head. And that's, you know, like I feel like there was great leaders that actually cared about, you know, the country and its future and people and stuff. But they got their beak wet, you know, it's like, but I'm going to take care of myself a little bit.

And now it feels like the opposite. It's all I care about is getting some for myself and, you know. And power. And winning the next election, yeah, exactly. Yeah, at all costs, right? And it's just bizarre because I think most people, I know the supplies to you and me and I think it applies to most people that are watching. Most people, meaning we all have our levels where we're like, No, I'm not doing that. Well, it'll make you a billion dollars. Nope, I'm good. Yeah. These people don't have those circuit breakers. No. And it's odd to me, man, because I sit there and I'm like, I would so much. If you asked me to compromise my principles for a billion dollars, I'd look at you and go, no, because that billion dollars won't buy that credibility back with my children, with my friends, with the people I respect and love.

Yeah, I just, I don't- It's like Buffett and Munger. It's like, hey, like you can make mistakes with money. You cannot make mistakes with your credibility. Yep, yep. I just, God, it's frustrating. It's just, it's very disappointing. It's very, it's a lot of disillusionment. That's right. Wait a minute. But anyway, yeah, it's just such a flawed system. Um, was there any, uh, oh, oh, uh, I didn't get to read the queue, but, um, I saw some stocks getting nuked today, like Roblox and, uh, there was another one. Did you get that, that text that Jamie sent? Did he send you anything? It was Roblox and one other one that we've been keeping an eye on for a while. Um, I saw Roblox because it was the.

I saw the HedgeEye guys talking about this. Their CFO had a bad rap coming in, had just nuked his prior company and same thing, like the opposite of sandbagging, like telling you how great everything's gonna be and then failing miserably to follow through essentially. So. You ought to be a politician. There you go. When's he running for Senate? Here's another

one that I, and I have not looked into it recently. Don't know where the stocks trading, all that kind of stuff. But I just, I keep, it's, you know, you and I talk about these things and it's, this is not a scientific approach of anything, but one of the ways that I have found investments and one of the things that I keep in mind on a constant basis is you get kind of an idea that germinates or something that catches your attention.

and it's under the radar and it looks interesting. And then here's somebody else talk about it. Funny enough, like one of my best sources to hear somebody else talk about is the Seawolf guys, right? Like if I've noticed something and then I hear them talk about it, I'm like, okay. Okay, there's something here. Somebody else saw it. We always laugh because so much of our portfolios are overlapping without talking to each other about it. But you know what I mean? When you see these things that you think you notice and they keep popping up, right? They keep popping up. Carvana has been like that for me recently, not in a good way, in a bad way. And one of them is because of a transaction I did with them recently. So I tried to buy my daughter a car. She just turned 16 through Carvana.

She turns through carbon. Oh, no, I tried to I bought her a car. She turned 16 I bought her a car through carbon up and It was it was interesting. So they didn't write it up well. My wife kind of misunderstood the description on the car, but we ended up getting, it was a used forerunner and we ended up getting a two-wheel drive version delivered and we live in the Northwest, what in the world would you want with a two-wheel drive forerunner, right? I think you'd call that a two-runner, honestly. And so we sent it back, but I sat there and watched that, because if you don't like it, you can keep it for a week and send it back.

The first thing I thought is I was like, man, how much money and time did they just waste sending me a car and then having to take it back and eat it? And then when I wanted to get my money back from them, it took them 10 days to wire the price to the car back. And I just sat there and I thought, hmm, no, any good. None of these things individually, right? I was at a meeting with a bunch of car dealerships yesterday for the income tax issue here in the state of Washington. and I heard a couple of them talking about it. I've heard these references all over the place. There are a bunch of these

guys right now making really good money buying cars that Carvana overpaid for and then have a flaw and then they go pick up the car.

And they're targeting Carvana cars because there's a really high percentage of car. I shouldn't say there's a really high percentage. What I will tell you is these guys get excited when they see a Carvana car at auction because it has a higher percentage of having very little minute things wrong with it, that Carvana thinks are bigger problems. So they give up on the car and just eat it. Right. And then furthermore, you start talking to the dealers. And the way Carvana is getting so many of these cars is they're paying prices for them that nobody else is willing to pay. Right. And why? Like that's clear. And it's clearly don't do much diligence. Not the fact that they're saying their margins are better than everybody else's. It's like that. The sun smells like a rat. I just I don't I don't understand. And yet you think if the you know, I'm not a forensic accountant, I'd like to get Harry Markopoulos on the job. But.

I, you know, I can't go through the balance sheet and show you where I'm just, if it looks like a duck, quacks like the duck, right? It's not a goose. I'm just looking at this thing going, none of this makes any sense. Nick, I don't, the margins make zero sense. How are you paying more for it than everybody else? You know, how many dealerships? Unless they're just ripping people off with like warranties and insurance or whatever, stuff like that. Other than that, I don't know how they make all this money. Look, look. I think best case scenario for them is that they're ripping people off on a 100%. That's baked into the cake, right? The most profitable part of running a dealership is F&I, right? So there's no question that's happening. But still, when they're showing me their margins, I look at, you know, cause cars are this physical thing you have to move around. And so scale doesn't really help you, especially in the used car business, right? The used car business does not get increasingly cheaper. Yeah, your costs are going to scale too, yeah. Yeah, it doesn't work that way. So that continues to be one of those headscratchers to me where, look, I can't sit here and point to you where the funny business is going on. I just look at the end result and go, I don't know how this is possible.

I'm talking to car guys, man. They're telling me, look, we can't get any of those used cars because they've got to be eating money on almost every single automobile sale. I've seen the individual stories of how much they pay versus other people. It's not like a 3% difference. It's like a 20% difference, 10% difference. Right. Right. At scale is lighting money on fire. And then you go look at how many of these Carvana... Now look, as a percentage of all, I'm just saying you talk to these guys and you look at these things. There's a bizarre high percentage of Carvana cars compared to other... I'm forgetting what the other national dealer is that's been around for a long time. Yeah, CarMax was the one I was thinking of. There's a disproportionate, you don't find there used cars very often at auctions. You find Carvanas all the time at title auctions, right? Where a car has been totaled or something's wrong with it. I was watching a video the other day where there was this car that I think the record said Carvana bought it for like 50 grand.

They totaled it. A guy came in and bought it at auction for like 20 grand, and it was like a 500 fix. Now, this guy was a really good mechanic and stuff, but there was just something small that they had missed. And, you know, you just think about that. Think about the thing. Now, it's one car and they're a big company. I get that, but that's a lot of dough to eat on one car. And, you know, and then you got to sit there and go, if they paid full tilt on a car, they totaled like a month after they bought it, or three months after they bought it. Like you said, how good is their diligence process? It just doesn't make any sense to me. No sense. You know what I'm saying? I'm glad you mentioned it because I hadn't looked at that chart in a while. I used to always have some puts rolling on it. I just smelled something with the same for years. I looked at it in probably six months or something. That chart is looking really, really sick. It's like a massive head to shoulders sitting right on a bit of a trap door. So however, we'll say now, now that I'm going to go put some, some puts back on it, it's going to the moon. So everyone else should probably buy it. Come on, man. You got to talk more positively than that. We've had a lot of good calls lately. Not, not Carvana. Never. Well, I know, but, but you've never tried to short that sucker with a 30 year at five to six either.

Well, that's fair. You know what I mean? And they can say whatever they want, but that is an extraordinarily interesting sensitive company. So, yeah, that's going to be an interesting one to watch because I just had several of these things come up in front. I've never had anything or read anything or seen anything that made me sit there and go, and we've looked into it. That's made me change my perspective and go, Oh, okay, that's why they're doing what they're doing. Every new insight I've got on that company has left me scratching my head going, this doesn't add up. It just doesn't add up. Yeah, no notes on that. Yeah, I remember the first time my wife and I were down in Phoenix. I can't remember if it was the vacation or business or whatever, but we were driving in the Uber from the airport to our hotel and we went by one of the, and this is years ago, it's probably 2018.

We went by the Carvana vending machine and I looked at her and I pointed at her and I go, you want to know a company that's going to go bankrupt in the next 10 years? I go, there you go. And she goes, why? And I go, capital allocation, honey. Right? Like I, that is all carnival and no, you know what I mean? And no, no substance. All had no cattle. All had no cattle coming from a Texas boy. That's exactly right. And shoot, we were almost there when it was trading sub a dollar and it had that, had that finance deal, but, you know, somebody realized that they could come in and, you know, play the old underwrite the debt game and ride it out. And that was actually one that ticked me off on the, on the long side because, you know, you and I talked about it, right? You could have, you could have, right when that refinance came out, you could have just been like, okay.

It had been best to play it with call options, obviously, but you could have even bought 30 bits worth of stock and made a pile on it. Yeah. When it broke above like 11, it was the perfect chart for my chart style. And you went from 11 to almost a hundred. So it worked. Yeah. That's pretty, pretty good run. Hey, man, that does it for me on the day. You got anything else? Nope. I'm going to go scoop up some training camp news now. Hey, get to the real business, pal. All right, me too, man. I'm all good. So that does it for us today. Thank you guys so much for joining. As always, you can catch us on social media. I'm at KYR Radio, Chase's at Pinecone Macro. You can get the video feed. Oh, lasso for price. You know what? I'm in. That is your

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